



Executive Summary

Project: TravelTide

TravelTide is preparing to launch a new reward program. To maximize adoption, user session data was analyzed to identify customer segments and design tailored perks that increase program participation.

Objectives

The goal of the analysis was to classify users based on their travel and browsing behavior and assign each segment specific perks that incentivize them to join the reward program.

Methodology

- Used session-level data enriched with user and booking information.
- Focused on sessions after **January 4th, 2023**, and only included users with more than seven sessions to ensure reliability.
- Cleaned invalid values (e.g., negative nights, missing discounts).
- Engineered browsing, travel, and demographic features.
- Applied a **weighted segmentation method** with clear thresholds and percentiles.
- Defined **8 user segments** and mapped each to a corresponding perk.

Key Findings

- Data quality required adjustments (e.g., correcting negative nights).
- Strong presence of **Family** and **Business Travelers**: clear segmentation by group size and travel purpose.
- **Seniors, Dreamers, and Weekenders** appear as more passive groups, with potential to activate through local services or low-cost entry perks.
- **Frequent Flyers** and **Long Distance Travelers** show premium/high-usage behavior, ideal for loyalty-based rewards.
- **Luxury Travelers** demonstrate very high spending on flights and hotels, making them well-suited for exclusive, high-end perks.

Recommendations

- Pilot the program with selected segments to measure impact.
- Start with **A/B Testing** to validate assumptions and gain data on perk effectiveness.
- Use insights from testing to refine perks and optimize segment definitions before scaling to all users.